



1098 Reporting Responsibility - Correspondents

Flagstar correspondents may be responsible for **annually** issuing its own 1098 statements **to its borrowers**, depending upon how the loan was closed. To clarify the reporting responsibilities of each party and ensure proper disclosure to borrowers, please follow the instructions below.

All correspondents must report the following items:

- Any applicable points and interest they received during **the calendar year**.
- Any interest from any scheduled payments credited to the loan balance by your company **during the calendar year** (only applicable if loan was purchased by Flagstar at a reduced principal balance).
- **Any MIP premiums received from the borrower during the calendar year**.
- The correspondent should consult the IRS or a tax advisor to determine what amounts are to be included on their 1098 **statements**.

Flagstar will report the following:

- Interest from payments credited to the loan by Flagstar.
- Any MIP premiums paid by Flagstar.

Loans closed in Flagstar's name (i.e., HELOCs/ALOCs and 2nd Mortgage ARMs)

- The correspondent will not be responsible for reporting any items.
- Flagstar will report all applicable points and interest they received **in the calendar year** (including pre-paid interest collected at closing).